

GAME OF BIG BUCKS



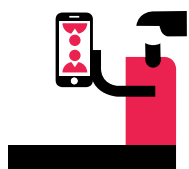
₹1,12,400 CRORE

OVERALL REVENUE OF THE SPORTS SECTOR IN FY22



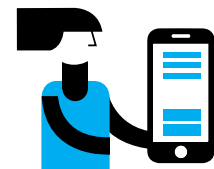
₹800-850 CRORE

DISNEY+ HOTSTAR'S REVENUES FROM IPL 2022



20 PER CENT

SHARE OF AD BUDGET SPENT ON DIGITAL BY SIX SECTORS



₹15-16 LAKH

AD RATES ON DIGITAL FOR A 10-SECOND SLOT

SOURCE ELARA CAPITAL, FICCI-EY REPORT 2022

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HERE WAS A TIME when over-the-top (OTT) platforms were the dumping grounds for inferior content—from unreleased films to obscure reality shows to recorded (non-live) sports clips. The mass eyeballs and the premium ad dollars invariably went to television. Increasingly, with the boom in smartphone adoption and the spread of low-cost internet, propelled by Mukesh Ambani-owned

Jio, the landscape changed dramatically in India. Today, OTTs are mainstream, with sports emerging as the 'golden goose' in the segment. Not only is there more money to be made in sports, there's also more loyal viewership and greater customer stickiness.

In India, sports streaming has always been dominated by cricket. "More than 90 per cent of it [sports streaming] is cricket," says Karan Taurani, Senior Vice President at brokerage firm Elara Capital. "The rest is non-cricket or what we call 'emerging sports', of which football is the largest."

In terms of viewership numbers, there's no beating

cricket. No surprise then that the streaming rights for showpiece tournament Indian Premier League (IPL) were sold this year to Viacom18, backed by Ambani's Reliance Industries, for ₹23,758 crore for a period of five years, with each match costing nearly ₹58 crore.

Key stakeholders in the business reckon the rights sale was mostly "on expected lines". "In fact, it was 5 per cent less than what most people had expected. And that is because of the global market conditions right now," says Pankaj Chhapparwal, Founder, CEO & MD of Cricbuzz (owned by Times Internet, which bagged the IPL's digital and broadcast rights for the US and Middle East and North Africa, or MENA, region). "There's been tremendous growth in digital in the last five years. So, it makes sense that digital is as expensive as TV now," he adds.

INSIDE VIACOM18'S EXPENSIVE BET

According to Elara Capital's Taurani, however, Viacom18 paid an "extremely high" sum which would be daunting to recover in five years. "The IPL has surpassed many other leagues despite not having a global reach. ARPUs are low here. There is no possibility of a break-even unless it [revenue] grows by 25-30 per cent every year," he says.